

		The parties are ordered to file a joint status conference statement at least 5 court days before the hearing. Clerk to give notice.
10	Stroj v. American Patriot Brands, Inc., et al. 2023-01326840	<u>Defendant Martin Brill’s Motion to Stay Civil Action Pending Resolution of Pending Criminal Action</u> <u>Defendants American Patriot Brands, Inc., Robert Mayer, Robert Y. Lee, Brian L. Pallas, Jim Anderson, Urban Pharms, LLC, DJ & S Property #1, LLC, TSL Distribution, LLC and Legion Accounting Services, Inc.’s Motion to Stay Civil Action Pending Resolution of Pending Criminal Action</u> Defendants Martin Brill, American Patriot Brands, Inc., Robert Mayer, Robert Y. Lee, Brian L. Pallas, Jim Anderson, Urban Pharms, LLC, DJ & S Property #1, LLC, TSL Distribution, LLC and Legion Accounting Services, Inc. (together, the “Moving Defendants,” and, without Brill, the “APB Defendants”) move to stay this case pending resolution of a pending criminal case against Brill and Lee. Defendant Levene, Neale, Bender, Yoo & Golubchik L.L.P. (“LNBYG”) opposes the motions. Plaintiff Robert J. Stroj does not oppose a stay of the entire action, but opposes a partial stay of the action (i.e., Stroj opposes a stay whereby the action would be stayed against the Moving Defendants but not against LNBYG). The court has read and considered all of the papers filed in support of and in opposition to the motion. For the following reasons, the motions to stay the entire civil action are granted. On July 30, 2024, the Orange County District Attorney’s Office filed a felony complaint against Brill and Lee, among others, charging them with eight felony counts of insurance fraud and one count of conspiracy to commit referral of clients for compensation arising from Brill and Lee’s alleged involvement with Southern California Injured Workers (SCIW). Chambers Decl. (ROA 621) Ex. A. Stroj’s first amended complaint in this action alleges improper conduct by Brill and LNBYG related to SCIW. First Amended Complaint (ROA 7) ¶ 133. Stroj incorporates the SCIW allegations into his civil conspiracy cause of action against all defendants, including Lee. <i>Id.</i> ¶ 155. State and federal cases acknowledge the “plight of a defendant in a criminal prosecution who must also defend against civil proceedings involving the same facts.” <i>People v. Coleman</i> (1975) 13 Cal.3d 867, 884. The “alleviation of tension between constitutional rights” is within the trial court’s discretion “in seeking to assure the sound administration of justice.” <i>Id.</i> at 885. “There may be cases where the requirement that a criminal defendant participate in a civil action, at peril of being denied some portion of his worldly goods, violates concepts of elementary fairness in view of the defendant’s position in an inter-related criminal prosecution. On the other hand, the fact that a man is indicted cannot give him a blank check to block all civil litigation on the same or related underlying subject matter. Justice is meted out in both civil and criminal litigation. The

		overall interest of the courts that justice be done may very well require that the compensation and remedy due a civil plaintiff should not be delayed (and possibly denied). The court, in its sound discretion, must assess and balance the nature and substantiality of the injustices claimed on either side.” <i>Id.</i> While the United States Constitution “does not ordinarily require a stay of civil proceedings pending the outcome of criminal proceedings,” a court may in its discretion stay parallel civil proceedings ““when the interests of justice seem to require such action.”” <i>Keating v. Office of Thrift Supervision</i> (9th Cir. 1995) 45 F.3d 322, 324. “The decision whether to stay civil proceedings in the face of a parallel criminal proceeding should be made ‘in light of the particular circumstances and competing interests involved in the case.’ [Citation.] This means the decisionmaker should consider ‘the extent to which the defendant’s fifth amendment rights are implicated.’” <i>Id.</i> In addition, a court should generally consider the following five factors when deciding whether to stay civil proceedings: (1) the interest of the plaintiffs in proceeding expeditiously with the civil litigation or any particular aspect of it, and the potential prejudice to the plaintiffs of a delay; (2) the burden which any particular aspect of the proceedings may impose on the defendants; (3) the convenience of the court in the management of its cases, and the efficient use of judicial resources; (4) the interests of persons not parties to the civil litigation; and (5) the interest of the public in the pending civil and criminal litigation. <i>Keating</i>, 45 F.3d at 324-25; <i>see also Pacers, Inc. v. Superior Court</i> (1984) 162 Cal.App.3d 686, 690. The court addresses each of these factors in turn below. <i>The extent to which Moving Defendants’ fifth amendment rights are implicated</i> The court finds that Brill’s and Lee’s fifth amendment rights are implicated by proceedings in the civil case. Both the civil case and the criminal case involve allegations of improper conduct by Brill and Lee related to SCIW. Neither Stroj nor LNBYG disputes that Stroj served requests for admission on Brill in the civil case in response to which Brill invoked his fifth amendment rights. Brill Brief (ROA 619) at 2 n.1. Indeed, Stroj seeks to prove some of the same facts prosecutors and/or criminal investigators would seek to prove to impose criminal liability on Brill and Lee. Brill’s and Lee’s fifth amendment rights are directly implicated by discovery in the civil case. The other Moving Defendants, none of which is a defendant in the criminal action, have not demonstrated they have fifth amendment rights or, if they do, that their fifth amendment rights are implicated by parallel civil and criminal actions. As discussed below, however, the court finds a stay of the action as to all defendants is appropriate for other reasons. <i>Stroj’s interest in proceeding expeditiously and potential prejudice to Stroj from delay</i>
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		civil litigant [citation], it does not provide for protection against civil penalties. “[W]hile the privilege of a criminal defendant is absolute, in a civil case a witness or party may be required either to waive the privilege or accept the civil consequences of silence if he or she does exercise it.”” (citations omitted). <i>Case management and efficient use of judicial resources</i> “[C]onvenience of the courts is best served when motions to stay proceedings are discouraged.” <i>Avant!</i>, 79 Cal.App.4th at 888. In this case, however, the plaintiff does not oppose a stay of the action. For case management purposes, and to utilize judicial resources most efficiently, any stay to be imposed should apply to all parties. In addition to the potential prejudice to Stroj addressed above, proceeding piecemeal risks, <i>inter alia</i>, duplication of effort and discovery, revisiting of issues and inconsistent rulings. <i>Interests of nonparties and public interest in pending civil and criminal litigation</i> No showing has been made that either of these factors materially bears on whether to stay the civil action. The court thus does not find that either of these factors compels a different outcome for these motions. This case is stayed pending resolution of <i>People v. Fish, et al.</i>, OCSC Case No. 24CF1948, or other order of the court. All pending dates, including motion hearing dates, the pretrial conference and the trial date are vacated, subject to being reset as necessary upon entry of an order lifting the stay. Defendant Martin Brill to give notice. <u>Status Conference</u> The court has reviewed the parties’ joint status conference statement filed December 6, 2024 (ROA 666). In a concurrently-issued order, the court granted defendants Martin Brill, American Patriot Brands, Inc., Robert Mayer, Robert Y. Lee, Brian L. Pallas, Jim Anderson, Urban Pharms, LLC, DJ & S Property #1, LLC, TSL Distribution, LLC and Legion Accounting Services, Inc.’s motions to stay this action pending resolution of <i>People v. Fish, et al.</i>, OCSC Case No. 24CF1948, or other order of the court. A status conference is scheduled for <u>June 26, 2025 at 9:00 a.m.</u> in Department CX104. The parties are ordered to file a joint status conference statement at least 5 court days before the hearing. Clerk to give notice.
11	Clark, et al. v. Windsail Capital Group, LLC, et al. 2021-01191735	<u>Plaintiff Growthpoint Global, Inc.’s Motions to Compel (1) Further Responses to Special Interrogatories (Set Four) Nos. 75-80 from Windsail Credit Fund, L.P., Windsail Capital Fund L.P., Windsail Capital Fund, LLC and Windsail GP, LLC, (2)</u>